Practice workbook · Draw a change in a currency's exchange rate

Currency market diagram (price of the currency against quantity) showing how exports, imports, interest rates or speculation shift demand or supply, with the new equilibrium exchange rate and quantity.

9 question parts: 1 worked-example retry and 8 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T22-13

1. Question 2 · part f · 3 marks

2022 JUN · Paper 02

Worked-example retry · Attempt part f only.

2 (a) Globalisation results in increasing

(1)

- ☒ **A** levels of debt for all national economies
- ☒ **B** protectionism amongst national economies
- ☒ **C** amounts of legislation for national economies
- ☒ **D** integration and interdependence of national economies

(b) Which **one** of the following is a possible impact of economic growth?

(1)

- ☒ **A** An increase in unemployment
- ☒ **B** An increase in environmental damage
- ☒ **C** A reduction in investment
- ☒ **D** A reduction in tax revenues

(c) State **one** type of unemployment.

(1)

(d) What is meant by the term recovery?

(2)

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1. Question 2 · part f · 3 marks

2022 JUN · Paper 02

Worked-example retry · Attempt part f only.

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Nigeria's rate of inflation increased to 12.2% in February 2020. A rise in the price of food products, such as bread and meat, was the main reason for the increase.

(e) Explain **one** impact of rising inflation on shoe leather costs in Nigeria.

(3)

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1. Question 2 · part f · 3 marks

2022 JUN · Paper 02

Worked-example retry · Attempt part f only.

Figure 3 shows the supply of and demand for the UK pound (£) in terms of US dollars ($) and the equilibrium exchange rate.

(f) Using the diagram below, draw the effects on the exchange rate of the UK pound (£) from an increase in UK exports to the US. Label the new curve, the new equilibrium exchange rate and the new equilibrium quantity.

(3)

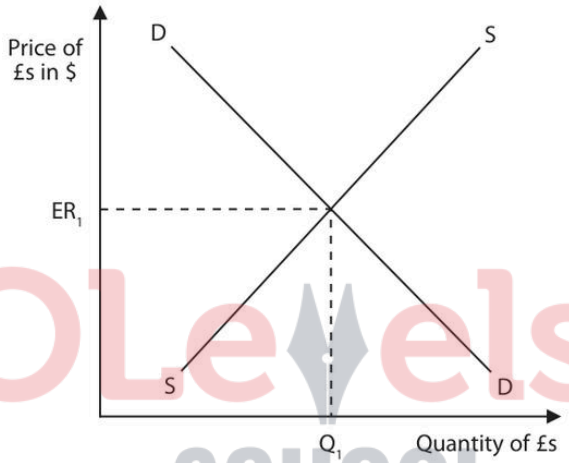


Figure 3

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1. Question 2 · part f · 3 marks

2022 JUN · Paper 02

Worked-example retry · Attempt part f only.

After nearly 20 years of negotiations, the European Union (EU) and Mercosur, the South American trading bloc, have agreed a draft trade deal. It would create the largest free trade area in the world consisting of 770 million people. The two blocs currently trade more than €88bn in goods and €34bn in services every year.

The EU would eventually end 92% of the tariffs on Mercosur imports. Mercosur would gradually remove its tariffs on 91% of EU goods, which amounts to €4bn. This includes removing the tariffs on clothing, chemicals, wine and canned peaches. Mercosur farmers would be allowed to export a specific quantity of beef, sugar and chicken at a lower tariff rate to the EU each year.

(Source: https://www.dw.com/en/eu-mercosur-free-trade-deal-what-you-need-to-know/a-49414103)

(g) With reference to the data above and your knowledge of economics, assess the advantages of free trade for firms located within the EU.

(9)

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1. Question 2 · part f · 3 marks · Working and answer

Working and answer

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2. Question 1 · part f · 3 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part f only.

1 (a) In a recovery, a country's Gross Domestic Product (GDP)

(1)

- ☒ **A** rises
- ☒ **B** falls
- ☒ **C** stays the same
- ☒ **D** fluctuates

(b) A trade bloc is a group of countries that have

(1)

- ☒ **A** the same interest rate
- ☒ **B** common borders between members
- ☒ **C** the same currency
- ☒ **D** a reduction in trade barriers between members

(c) What is meant by the term multinational corporation (MNC)?

(2)

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2. Question 1 · part f · 3 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part f only.

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(d) Describe **one** impact of economic growth on the productive potential of a country.

(2)

Figure 1 shows the main components of Germany's current account in 2016.

	€ billion
Trade in goods (visibles)	+271.7
Trade in services (invisibles)	-22.4

Figure 1

(Source: Bundesbank)

(e) Using the data in Figure 1, calculate in € bn the current account balance for Germany in 2016.

(2)

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2. Question 1 · part f · 3 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part f only.

(f) The UK exports goods to eurozone countries. Using the diagram below, draw the effects of an increase in exports from the UK to the eurozone on the exchange rate of the £. Label the new curve, the new equilibrium exchange rate and the new equilibrium quantity.

(3)

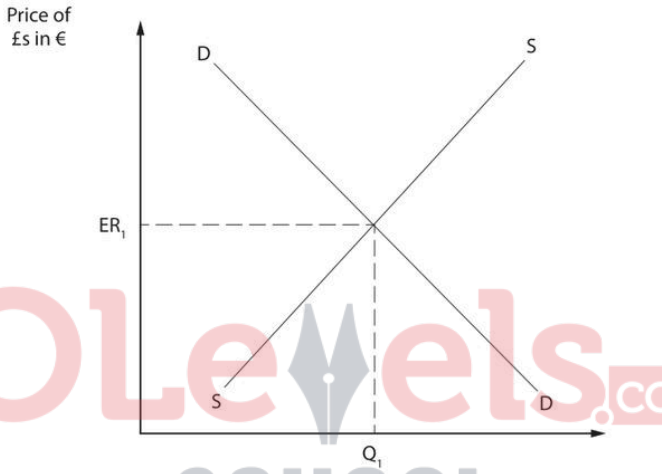


Figure 2

In September 2017, the growth rate of the gross domestic product (GDP) in the UK was 0.4%, a slight increase of 0.1% on the previous quarter.

(g) Explain **one** reason why economic growth is a key macroeconomic objective for a country such as the UK.

(3)

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2. Question 1 · part f · 3 marks · Working and answer

Working and answer

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3. Question 1 · part f · 3 marks

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part f only.

1 (a) What is calculated by using the consumer price index (CPI)?

(1)

- ☒ **A** Redistribution of income
- ☒ **B** Inflation rate
- ☒ **C** Economic growth
- ☒ **D** Exchange rate

(b) The sale or transfer of public sector assets to the private sector is known as

(1)

- ☒ **A** monetary policy
- ☒ **B** public expenditure
- ☒ **C** privatisation
- ☒ **D** fiscal policy

(c) What is meant by the term boom?

(2)

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3. Question 1 · part f · 3 marks

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part f only.

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(d) What is meant by the term shoe leather costs?

(2)

(e) Calculate **the price in Indian Rupees (INR)** of machinery which costs $150 000 when the exchange rate is $1 = 70.66 INR. You are advised to show your working.

(2)

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3. Question 1 · part f · 3 marks

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part f only.

Figure 1 shows the supply and demand of the pound (£) in terms of the euro (€).

(f) Using the diagram below, draw the effects on the exchange rate of the pound (£) of a decrease in UK exports to Eurozone countries. Label the new curve, the new equilibrium exchange rate and the new equilibrium quantity.

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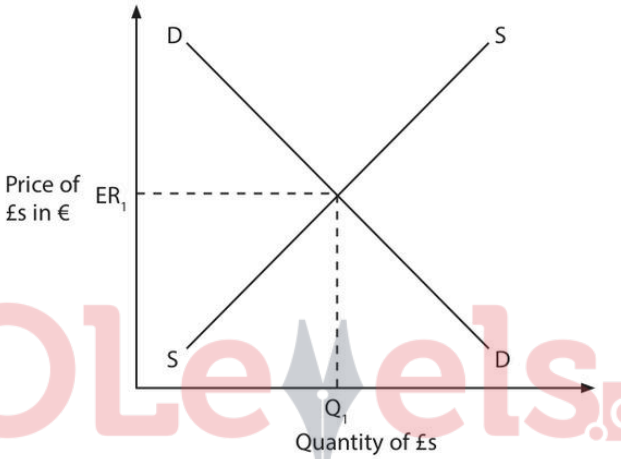


Figure 1

In November 2018, China launched its first ever anti-dumping investigation against Australia over the export of Australian barley.

(g) Explain **one** reason why a country such as Australia might export its products below the cost of production.

(3)

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3. Question 1 · part f · 3 marks · Working and answer

Working and answer

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4. Question 1 · part f · 3 marks

2023 JUN · Paper 02

Further practice · Attempt part f only.

1 (a) Which **one** of the following describes the recovery phase of the economic cycle?

(1)

- ☒ **A** GDP is growing at its fastest and business activity increases
- ☒ **B** GDP starts to rise and economic activity is on the increase
- ☒ **C** GDP is still growing but more slowly
- ☒ **D** GDP falls for two successive quarters

(b) Which **one** of the following is an example of frictional unemployment?

(1)

- ☒ **A** A bank cuts jobs during a global recession
- ☒ **B** Workers are unemployed whilst waiting to start a new job
- ☒ **C** Fewer workers are employed on fruit farms in the winter months
- ☒ **D** Factory workers lose their jobs as more machines are used

(c) What is meant by the term exports?

(2)

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4. Question 1 · part f · 3 marks

2023 JUN · Paper 02

Further practice · Attempt part f only.

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(d) What is meant by the term globalisation?

(2)

The consumer price index (CPI) was 105.4 in 2021 and it was 100 in the base year 2018.

(e) Calculate how much the **average price level** increased between 2018 and 2021.
You are advised to show your working.

(2)

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4. Question 1 · part f · 3 marks

2023 JUN · Paper 02

Further practice · Attempt part f only.

Figure 1 shows the supply of and demand for UK pounds (£) in terms of US dollars ($) and the equilibrium exchange rate.

(f) Using the diagram below, draw the effects of a decrease in UK exports to the US on the equilibrium exchange rate of UK pounds (£). Label the new curve, the new equilibrium exchange rate and the new equilibrium quantity.

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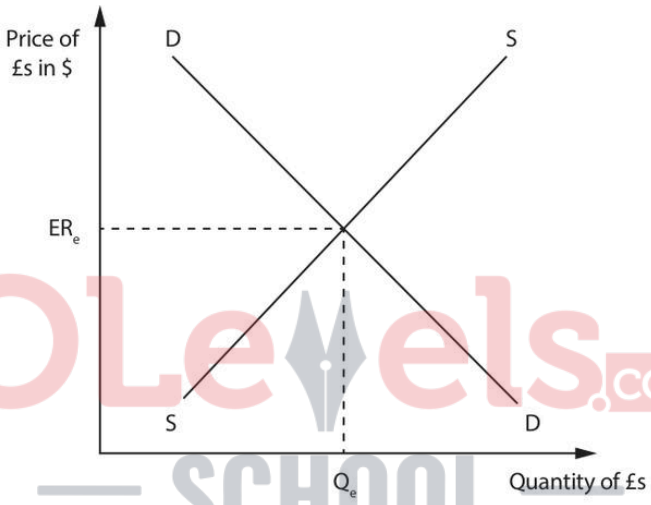


Figure 1

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4. Question 1 · part f · 3 marks

2023 JUN · Paper 02

Further practice · Attempt part f only.

The UK's annual inflation rate was 5.1% in December 2021, its highest rate in a decade. The rise was due to higher prices for transport, food, clothing and footwear.

(g) Explain **one** effect of rising inflation on menu costs in the UK.

(3)

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4. Question 1 · part f · 3 marks · Working and answer

Working and answer

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5. Question 2 · part f · 3 marks

2023 NOV · Paper 02

Further practice · Attempt part f only.

2 (a) What is the main reason for a government to devalue its currency?

(1)

- ☒ **A** To increase the demand for its exports
- ☒ **B** To decrease the demand for its exports
- ☒ **C** To increase the demand for imports
- ☒ **D** To decrease foreign investment

(b) Which **one** of the following is the most likely reason for increased globalisation?

(1)

- ☒ **A** An increase in tariffs and quotas
- ☒ **B** An increase in the cost of transport
- ☒ **C** An increase in the significance of MNCs
- ☒ **D** An increase in the cost of communication

(c) State **one** possible macroeconomic objective for a government.

(1)

(d) What is meant by the term seasonal unemployment?

(2)

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5. Question 2 · part f · 3 marks

2023 NOV · Paper 02

Further practice · Attempt part f only.

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In 2022, Vietnam's economy grew by 8.02%, exceeding its annual target of 6.5%.

(e) Explain **one** reason why rapid economic growth may be harmful for an economy such as Vietnam.

(3)

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5. Question 2 · part f · 3 marks

2023 NOV · Paper 02

Further practice · Attempt part f only.

Figure 2 shows the supply of and demand for UK pounds (£) in terms of US dollars ($) and the equilibrium exchange rate.

(f) Using the diagram below, draw the effect of an increase in UK exports to the US on the equilibrium exchange rate of the UK pound (£). Label the new curve, the new equilibrium exchange rate and the new equilibrium quantity.

(3)

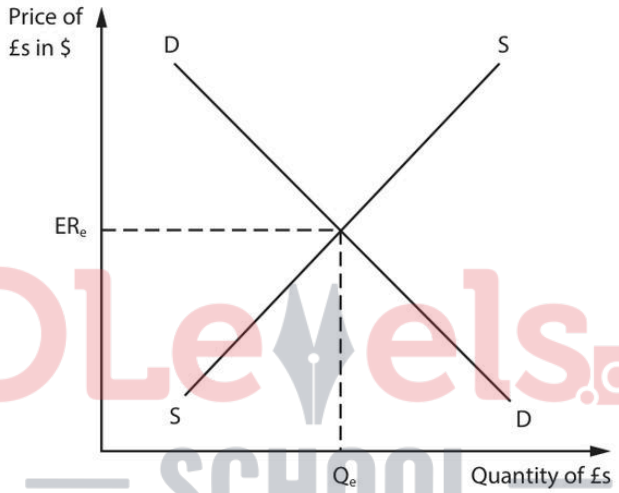


Figure 2

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5. Question 2 · part f · 3 marks

2023 NOV · Paper 02

Further practice · Attempt part f only.

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In April 2023, the UK Government increased the business tax rate from 19% to 25%. The higher rate is expected to raise around £18bn in additional tax revenue per year. The change brings the UK's business tax rate to the same rate as other large economies.

Due to this tax change, Associated British Foods, the owner of Primark and other firms, is expected to pay an additional £20m in tax per year.

Business tax rates of major economies



Figure 3

(g) With reference to the data above and your knowledge of economics, assess the disadvantages of higher business tax rates on investment in a country such as the UK.

(9)

5. Question 2 · part f · 3 marks · Working and answer

Working and answer

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6. Question 2 · part f · 3 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part f only.

2 (a) Which **one** of the following is the calculation for the rate of unemployment in a country?

(1)

- ☒ **A** Total labour force/Total population × 100
- ☒ **B** Number of unemployed/Total labour force × 100
- ☒ **C** Number of employed/Total labour force × 100
- ☒ **D** Total unemployment/Total population × 100

(b) Which **one** of the following describes a role of the World Trade Organization (WTO)?

(1)

- ☒ **A** Help with trade negotiations
- ☒ **B** Regulates multinational corporations
- ☒ **C** Provides financial assistance to developing countries
- ☒ **D** Stabilises exchange rates

(c) State **one** possible reason for a current account surplus.

(1)

(d) What is meant by the term relative poverty?

(2)

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6. Question 2 · part f · 3 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part f only.

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In March 2020, the European Central Bank (ECB) purchased €1.85 trillion worth of assets including government bonds and corporate bonds.

(e) Explain **one** benefit of asset purchasing by a central bank such as the ECB.

(3)

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6. Question 2 · part f · 3 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part f only.

Figure 3 shows the supply of and demand for UK pounds (£), as well as the equilibrium exchange rate against the euro (€). UK interest rates increased from 4% to 4.25% in March 2023.

(f) Using the diagram below, draw the likely effect of this rise in UK interest rates on the equilibrium exchange rate of the UK pound (£) against the euro (€). Label the new curve, the new equilibrium exchange rate and the new equilibrium quantity.

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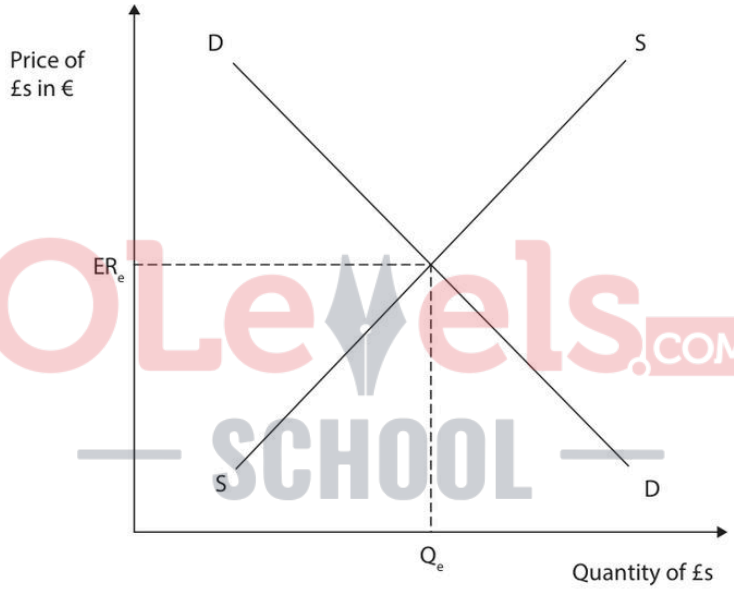


Figure 3

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6. Question 2 · part f · 3 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part f only.

The Chinese economy only grew by 3% in 2022. However, in 2023 exports increased by 14.8% compared to the previous year, suggesting that China would achieve its growth target of 5%.

By March 2023, China was experiencing an economic recovery with the services and construction sectors reaching a 12-year high.

However, China's export recovery is expected to be temporary. This is because of possible weaker global demand due to interest rate rises in many economies.

(g) With reference to the data above and your knowledge of economics, assess how a recovery may affect unemployment for a country such as China.

(9)

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6. Question 2 · part f · 3 marks · Working and answer

Working and answer

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7. Question 2 · part f · 3 marks

2024 NOV · Paper 02

Further practice · Attempt part f only.

2 (a) Which **one** of the following is a rise in the value of an exchange rate in a floating exchange rate system?

(1)

- ☒ **A** Appreciation
- ☒ **B** Depreciation
- ☒ **C** Revaluation
- ☒ **D** Devaluation

(b) Which **one** of the following is a reason why there is protection for international trade?

(1)

- ☒ **A** To allow dumping
- ☒ **B** To promote free trade
- ☒ **C** To protect domestic jobs
- ☒ **D** To increase the current account deficit

(c) State **one** possible impact of globalisation on consumers.

(1)

(d) What is meant by the term asset purchasing?

(2)

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7. Question 2 · part f · 3 marks

2024 NOV · Paper 02

Further practice · Attempt part f only.

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In China there are restrictions on coal consumption and emissions from factories. These restrictions have led to job losses in some industries.

(e) Explain **one** reason why there might be a trade-off between economic growth and environmental protection for an economy such as China.

(3)

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7. Question 2 · part f · 3 marks

2024 NOV · Paper 02

Further practice · Attempt part f only.

Figure 3 shows the supply of and demand for UK pounds (£) and the equilibrium exchange rate against the US dollar ($).

(f) Using the diagram below, draw the likely effect of a decrease in imports from the US on the equilibrium exchange rate of the UK pound (£) against the US dollar ($). Label the new curve, the new equilibrium exchange rate and the new equilibrium quantity.

(3)

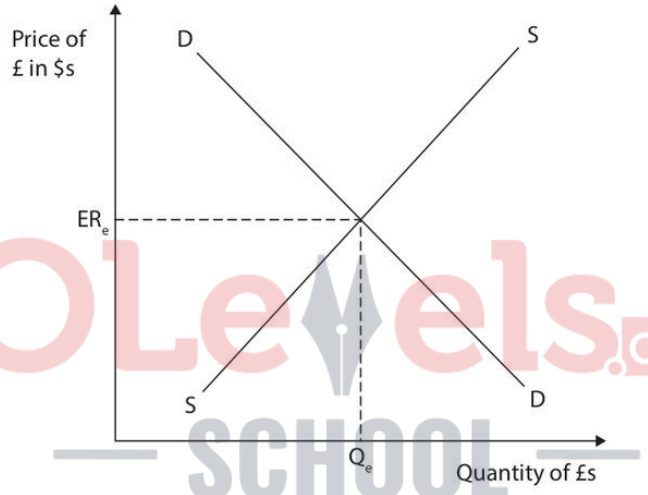


Figure 3

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7. Question 2 · part f · 3 marks

2024 NOV · Paper 02

Further practice · Attempt part f only.

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ChatGPT is the latest example of artificial intelligence (AI)* technology. There are increased concerns that AI will cause the loss of jobs for millions of workers. This includes Wall Street traders, salespeople, writers of basic computer code and journalists.

IBM has stopped recruiting for 7,800 jobs that could be eventually replaced by AI. British Telecom (BT) predicted that AI would replace 10,000 jobs by 2030.

**The use of computer systems to perform tasks normally undertaken by humans.*

(g) With reference to the data above and your knowledge of economics, assess the possible impact of the introduction of AI on the levels of structural unemployment.

(9)

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7. Question 2 · part f · 3 marks · Working and answer

Working and answer

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8. Question 2 · part f · 3 marks

2025 JUN · Paper 02

Further practice · Attempt part f only.

2 (a) Which **one** of the following is a government policy that changes the rate of interest?

(1)

- ☒ **A** Fiscal
- ☒ **B** Supply-side
- ☒ **C** Monetary
- ☒ **D** Exchange rate

(b) Which **one** of the following is an example of deregulation?

(1)

- ☒ **A** Introducing a limit on government salaries
- ☒ **B** Allowing more foreign firms into the domestic market
- ☒ **C** Introducing compulsory employee training requirements
- ☒ **D** Increasing consumer protection laws

(c) State **one** possible advantage of foreign direct investment (FDI) for an economy.

(1)

(d) What is meant by the term indirect tax?

(2)

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8. Question 2 · part f · 3 marks

2025 JUN · Paper 02

Further practice · Attempt part f only.

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The World Health Organization estimates that 4.5 billion people are classed as being in poverty because they do not have access to essential healthcare.

(e) Explain **one** way government provision of healthcare can help to reduce poverty.

(3)

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8. Question 2 · part f · 3 marks

2025 JUN · Paper 02

Further practice · Attempt part f only.

Figure 3 shows the supply of and demand for UK pounds (£) against the US dollar ($). Currency speculators think the value of the UK pound (£) is going to rise in the future.

(f) Using the diagram below, draw the likely effect of currency speculators on the equilibrium exchange rate of the UK pound (£) against the US dollar ($). Label the new curve, the new equilibrium exchange rate and the new equilibrium quantity.

(3)

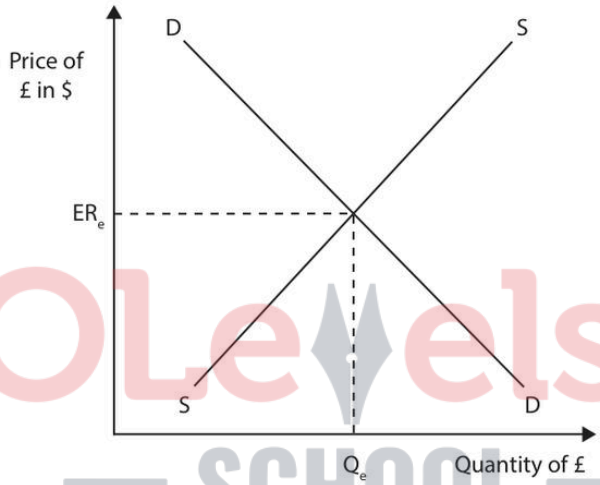


Figure 3

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8. Question 2 · part f · 3 marks

2025 JUN · Paper 02

Further practice · Attempt part f only.

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In September 2023, South Korea signed a free trade agreement (FTA) with the Philippines. This removed a 5% import tariff on South Korean cars and a 30% import tariff on South Korean car parts.

The Philippines has the 12th largest population in the world and is one of the biggest car and car parts importers. In 2023, the total number of car sales in the Philippines was 366,000.

South Korean-made cars account for 2.5% of the Philippine car market. It is dominated by Japanese-made cars, which have an 82.5% market share.

(g) With reference to the data above and your knowledge of economics, assess the possible benefits for the South Korean car industry from the removal of tariffs by the Philippines.

(9)

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8. Question 2 · part f · 3 marks · Working and answer

Working and answer

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9. Question 1 · part f · 3 marks

2025 NOV · Paper 02

Further practice · Attempt part f only.

1 (a) Which **one** of the following best defines deflation?

(1)

- ☒ **A** A continuous rise in the general price level of goods and services
- ☒ **B** A situation where the economy grows rapidly
- ☒ **C** A decrease in the general price level of goods and services over time
- ☒ **D** A period of very low economic activity and high unemployment

(b) Which **one** of the following is an example of a supply-side policy?

(1)

- ☒ **A** Investing in education and training
- ☒ **B** Asset purchasing by a central bank
- ☒ **C** Increasing taxes on high-income earners
- ☒ **D** Increasing the interest rate

(c) What is meant by the term demand-pull inflation?

(2)

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9. Question 1 · part f · 3 marks

2025 NOV · Paper 02

Further practice · Attempt part f only.

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(d) Describe **one** advantage of privatisation for a consumer.

(2)

A country has a labour force of 4.3 million with 550,000 people unemployed.

(e) Calculate, to **two** decimal places, the country's **percentage rate of unemployment**. You are advised to show your working.

(2)

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9. Question 1 · part f · 3 marks

2025 NOV · Paper 02

Further practice · Attempt part f only.

Figure 1 shows the supply of and demand for UK pounds (£) and the equilibrium exchange rate against the euro (€).

(f) Using the diagram below, draw the likely effect of an increase in imports from Europe on the equilibrium exchange rate of the UK pound (£) against the euro (€). Label the new curve, the new equilibrium exchange rate and the new equilibrium quantity.

(3)

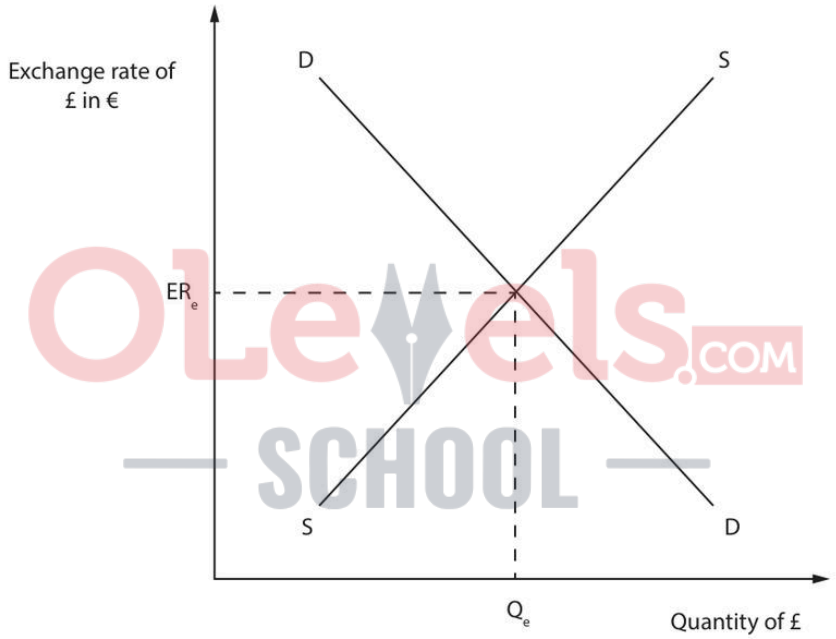


Figure 1

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P 7 8 9 6 3 A 0 4 2 8

9. Question 1 · part f · 3 marks

2025 NOV · Paper 02

Further practice · Attempt part f only.

In March 2024, after 15 years of negotiations, India announced a free trade agreement with four European countries: Switzerland, Iceland, Norway and Liechtenstein. The free trade agreement is expected to create one million jobs over the coming years.

(g) Explain **one** advantage of free trade for a business in a country such as Iceland.

(3)

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9. Question 1 · part f · 3 marks · Working and answer

Working and answer

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